

INFORMATION MEMORANDUM — CONFIDENTIAL

INVESTOR INFORMATION & STRUCTURE PROPOSAL

SiyaBusa ERP — Proposed Commercial Structure & Investment Framework

Prepared for prospective investors and strategic partners. This document presents what has been built, the proposed investment framework under consideration, and invites expressions of interest.

1. Purpose of This Document

This document has been prepared by Masaphokati Equity Holdings to present, for discussion purposes, the corporate structure, asset base, and proposed investment framework surrounding SiyaBusa ERP. It was prompted by conversations with prospective strategic partners but is addressed broadly to **any investor or partner who may be considering involvement**.

To be clear: **this is not a formal offer of securities**. No investment is being solicited at this stage. What is presented here is a picture of what has been built, how the company is structured, and the framework being considered for future investment — so that any interested party can assess whether there is alignment before formal proceedings begin.

A Framework Is Being Proposed — Not Yet Offered

Masaphokati Technologies has developed a complete investor documentation framework: Business Plan, Term Sheet, SAFE Agreement, Subscription Agreement, Shareholders Agreement, and a plain-English SAFE guide. These documents exist as a proposed framework. The structures described herein are subject to further discussion, legal review, and board approval before any formal offer is made.

2. Corporate Structure — Who Owns What

ENTITY	NATURE	RELEVANCE TO INVESTORS
SGBS Group	Accounting & Consulting	Sibusiso's professional accounting practice. Completely separate — no IP interest in SiyaBusa ERP.
Masaphokati Equity Holdings	Holding Company	Parent entity. Holds the founder shareholding in Masaphokati Technologies (Pty) Ltd.
Masaphokati Technologies (Pty) Ltd	Operating Technology Company	The investment entity. Developed and owns SiyaBusa ERP. All investor instruments (SAFE, Share Subscription, Shareholders Agreement) are agreements with this company.
SiyaBusa ERP	Software Product	17+ modules, 400+ API endpoints, live on Vultr VPS (Johannesburg). Revenue-ready, production-deployed.

3. Share Capital — What Is Available to Investors

The following capital structure has been formally established and is reflected in the Term Sheet and Shareholders Agreement:

Authorised Share Capital	1,000,000,000 (One Billion) ordinary shares, no par value
Currently Issued to Founders	100,000,000 shares (via Masaphokati Equity Holdings)
Available for Investors	900,000,000 shares available for issue — of which 20,000,000 are earmarked for the Seed Round
Seed Round Target	R2,000,000 — minimum R500,000 (phased close accepted)
Seed Round Price Per Share	R0.10 (Ten Cents)
Pre-Money Valuation	R10,000,000

Post-Money Valuation	R12,000,000
Seed Investor Equity	16.67% of the company (20M of 120M total post-seed shares)
Founders Post-Seed	83.33% retained

Minimum Investment Thresholds (Seed Round)

Lead Investor: R500,000+ • Strategic Investor: R250,000+ • Other Investors: R30,000+

4. Two Proposed Participation Paths — For Discussion

The proposed investment framework under consideration contemplates two participation paths, drawn from the documentation already prepared. **These are presented for discussion purposes.** If there is alignment in principle, formal documentation would be progressed with legal advisers on both sides.

Path A — SAFE Agreement (Simple Agreement for Future Equity)

Under consideration for investors who wish to participate early, with conversion to shares deferred to the next priced round.

SAFE AGREEMENT — KEY TERMS		
Valuation Cap R15,000,000	Discount on Next Round 20% (investor pays 80% of the next round price)	Conversion Trigger Next qualifying equity financing of R5,000,000+
Minimum Investment R30,000	Investor Rights Now Monthly reports, Pro Rata rights, Board observer (10%+), MFN clause	Shares Issued Not now — converts to shares at qualifying event (IPO, acquisition, or Series A)

CONVERSION METHOD	CALCULATION	EXAMPLE — R500,000 INVESTED
Cap Method Valuation Cap ÷ Total Shares	Price = R15M ÷ shares outstanding at conversion	At 120M shares: R15M ÷ 120M = R0.125/share R500K ÷ R0.125 = 4,000,000 shares
Discount Method 80% of Next Round Price	Price = next round price × 80%	If next round prices at R0.20: investor pays R0.16 R500K ÷ R0.16 = 3,125,000 shares

Investor Always Gets the Better of the Two

The SAFE converts at whichever method produces more shares. In this example: 4,000,000 shares (Cap Method) beats 3,125,000 (Discount Method) — the investor gets 4M shares. The early investor who takes the most risk gets the most reward.

Path B — Seed Equity Round (Direct Share Subscription)

Under consideration for investors who prefer an immediate, confirmed shareholding position with voting rights from day one.

Instrument	Share Subscription Agreement (ordinary shares, no par value)
Price Per Share	R0.10 (Ten Cents) — fixed seed round price
Shares Available	20,000,000 new ordinary shares (16.67% of post-seed total)
Total Seed Target	R2,000,000 (phased close accepted, minimum viable raise R500,000)
Immediate Rights	Voting rights per shares held • Monthly management accounts • Quarterly financials • Board observer at 10%+
Minimum Investment	R30,000 (300,000 shares) — R250,000 Strategic — R500,000 Lead
Exit Strategy	JSE AltX listing targeted Q2 2029

Path B Illustration — What R500,000 Buys

At R0.10/share: $R500,000 \div R0.10 = 5,000,000$ shares • Post-seed cap table: **4.17%** of the company • If the company reaches R100M valuation (JSE AltX, Q2 2029): your 4.17% = **R4,170,000** • 8.3× return on R500K invested.

5. Path Comparison — Proposed Terms at a Glance

FACTOR	PATH A — SAFE	PATH B — DIRECT EQUITY
Shares Issued	Not immediately — converts at next round	Immediately upon subscription
Price Certainty	Price set at conversion event	R0.10/share fixed now
Upside Potential	Higher — cap + discount rewards early risk	Strong — locked in at seed price
Voting Rights	None until conversion	Immediate proportional voting rights
Complexity	Simple document, no valuation needed now	Full subscription agreement + share register update
Minimum Entry	R100,000	R100,000
Best For	Patient capital, high-upside seekers, angels	Strategic partners wanting board presence now
Document	SAFE Agreement (drafted & ready)	Share Subscription Agreement (drafted & ready)

6. Expression of Interest

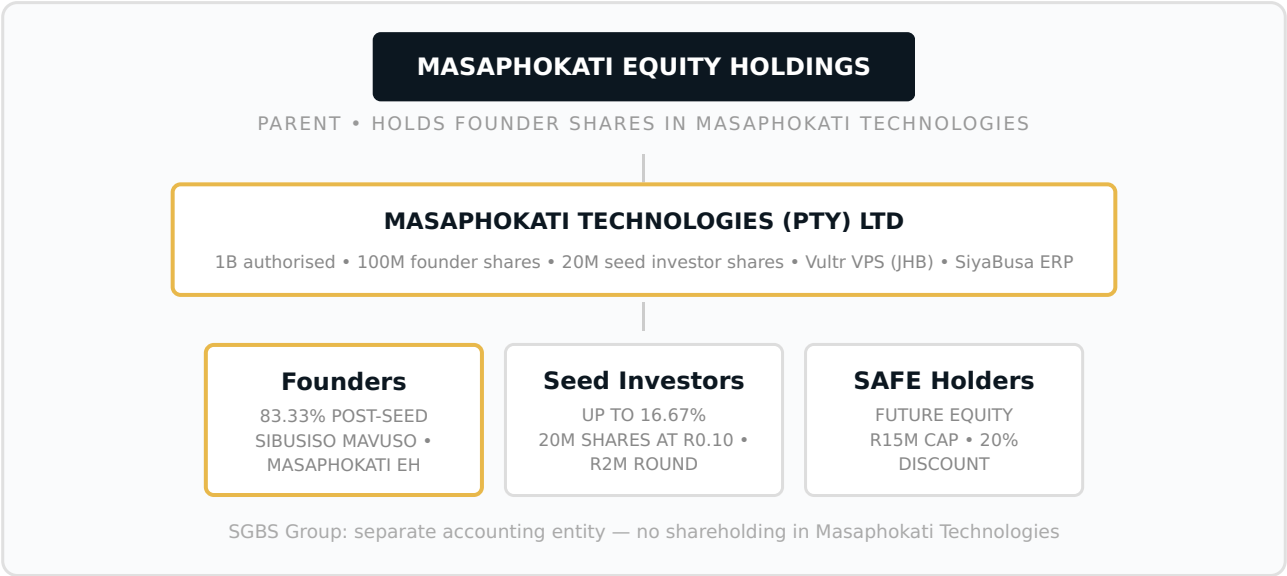
If, after reviewing this document, there is sufficient alignment with your investment thesis and objectives, we invite you to complete an expression of interest below. This is **non-binding** and simply allows us to understand which structure resonates, so that we can progress conversations appropriately. No legal commitments arise from completing this form.

EXPRESSION OF INTEREST — NON-BINDING — FOR DISCUSSION PURPOSES ONLY

☐	Path A — SAFE Framework	I am interested in exploring the SAFE framework (R15M valuation cap, 20% discount, converts at next qualifying round). I understand this is subject to formal documentation and legal review.
☐	Path B — Seed Equity	I am interested in exploring a direct equity position at seed terms (R0.10/share). I understand this is subject to formal documentation, due diligence, and legal review.
☐	Open to Discussion	I am interested but would like to discuss structure, terms, and participation before indicating a preference. Please contact me.

Name / Organisation:	Indicative Interest Amount (R):
Contact Email / Phone:	Date:

7. Post-Investment Corporate Structure



8. What SiyaBusa Brings — The Asset You Are Investing In

ERP Modules	17+ complete — Financial Accounting, HR & Payroll, Inventory, Sales & CRM, Purchase, Manufacturing, Warehouse, Logistics, Compliance Hub, Audit Hub, Cash Management, Multi-Entity, Projects, Practice Management, Communications, AI Assistant, Dashboard & Reports
API / Database	400+ deployed API endpoints • 150+ database tables (PostgreSQL)
Infrastructure	Vultr VPS (Ubuntu, Johannesburg) • PostgreSQL • Redis • Multi-tenant architecture

Live Domains	siyabusaerp.co.za • platform.siyabusaerp.co.za • auditor.siyabusaerp.co.za
Pricing	R299/user/month (Founding Member rate, 5 users avg per client) • Break-even at 46 clients (founder) / 151 clients (funded team)
Development Invested	~R3.5M sweat equity over 18+ months — technology risk eliminated
Target Market	750,000+ formal SA SMEs • SAM 180,000 tech-ready businesses • SOM ~8,000 reachable in 3 years • TAM R27B annually
Long-Term Exit	JSE AltX listing targeted Q2 2029

9. Proposed Next Steps if There Is Alignment

1. **Initial conversation** — An introductory discussion to establish whether there is alignment on vision, structure, and terms. No commitments made at this stage.
2. **Review of full investor documentation** — The complete Business Plan, Term Sheet, SAFE Explained, and draft agreements are available to serious prospective partners under a Non-Disclosure Agreement.
3. **Expression of interest** — If, after reviewing the documentation, there is continued interest, the prospective investor completes the non-binding expression of interest (Section 6 above).
4. **Due diligence** — Masaphokati Technologies will make available relevant technical, financial, and legal information for independent due diligence by the investor.
5. **Legal documentation** — If both parties wish to proceed, commercial attorneys on both sides draft and review the relevant agreements (SAFE or Subscription Agreement, Shareholders Agreement).
6. **Formal execution** — Agreements executed, funds transferred, cap table updated, and investor reporting commences.

To Request the Full Investor Pack or Arrange a Discussion

Masaphokati Technologies (Pty) Ltd

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